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POST-PANDEMIC GLOBAL INFLATION, DISINFLATION,
AND CENTRAL BANK POLICY RESPONSES:
A REVIEW OF THE FACTS, EMPIRICAL FINDINGS, AND
THEIR IMPLICATIONS FOR MONETARY POLICY FRAMEWORK ASSESSMENTS

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ABSTRACT

This paper examines the 2021-2022 global inflation surge and the belated but aggressive monetary policy response to it by advanced economy central banks. Drawing on body of recent empirical research, it identifies three primary drivers of the global inflation surge: supply shocks from pandemic disruptions and Russia's invasion of Ukraine, accommodative fiscal and monetary policies that responded to the economic dislocation caused by pandemic, and a demand shift toward goods relative to services, that exacerbated supply chain pressures. Advanced economy central banks were initially slow to react but ultimately raised rates aggressively and succeeded, with help from a reversal of the initial supply shocks which contributed to the initial inflation surge, in returning inflation to "2 point something" were confident enough in the prospects for further disinflation to began cutting interest rates by the summer of 2024. The paper explores benefits and costs of proposals to make forward guidance on the policy rate and the balance sheet more robust and considers the benefits and costs of incorporating scenario analysis into the communication toolkit.

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Post-Pandemic Global Inflation, Disinflation, and Central Bank Policy Responses: A Review of the Facts, Empirical Findings, and Their Implication for Monetary Policy Framework Assessments

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The 2021-2022 surge in world inflation was a distinctive and distressing feature of the post pandemic global economy that triggered a belated, correlated, and aggressive monetary policy response. By the summer of 2024, underlying inflation in most advanced economies had fallen back to below 3 percent, inflation expectations appeared anchored at central bank inflation targets, and central banks in these countries were confident enough in the prospects for further disinflation to begin cutting interest rates. The goal of this paper is to summarize and highlight important facts, survey and distill the relevant empirical research, assess the cross-country policy responses of inflation-targeting central banks, and highlight some implications for ongoing assessments of monetary policy frameworks.

The Global Inflation Surge: A Cross-Country Perspective

The post-pandemic inflation surge of 2021-2022 was remarkably correlated across advanced economies both in terms of timing and magnitude [Figure 1]. Inflation in these economies, which had been running below inflation targets in the years before the pandemic and in 2020, spiked sharply in 2021-2022, peaking at levels not seen since the 1970s. The correlated surge in world inflation was not a coincidence and was certainly not a U.S.-specific phenomenon; it was a global event, driven by a confluence of common

factors that empirical research can now, with the passage of time, better identify than was possible in the “fog of war”.

A growing body of recent applied research indicates there were three primary, common drivers of the global inflation surge in 2021-2-22 (Ball et. al. (2022); Bernanke and Blanchard (2024); Clarida (2023;2024); English et. al. (2024); Dao, Gourinchas, Leigh, and Mishra, (2024)). First, there were adverse shocks to aggregate supply. The pandemic disrupted labor markets profoundly, not only in 2020, but also depressed labor force participation in the US and in most other countries long after vaccines became available. Another independent adverse supply shock was of course triggered in 2022 by Russia’s invasion of Ukraine which pushed up energy and food prices especially in Europe, but also globally.

Second, there was an endogenous policy response to the initial exogenous pandemic public health shock which represented a (correlated) shock to aggregate demand (Gagnon (2022); Shapiro (2022); Clarida (2023)). Central banks and governments went “all-in” with monetary and fiscal measures to support their economies (Barro and Bianchi (2024)). While fiscal responses varied-ranging from the U.S.’s \$5 plus trillion in three pandemic fiscal packages to more modest support in other jurisdictions-monetary policy was broadly accommodative across AEs. Interest rates were slashed to the effective lower bound (ELB), and quantitative easing (QE) programs were expanded (English et. al. (2021)). The Fed, for instance, lowered the federal funds rate to 0–0.25% in March 2020 and initiated what became an open-ended QE program (Duygan-Bump, Scotti, and Clarida 2021)).

The third major shock was an unprecedented increase in the *relative* demand for goods versus services which resulted in a sizable rise in the equilibrium relative price of goods versus services (Guerrieri, Lorenzoni, Straub, and Werning (2021); Afrouzi, et. al. 2024)). Goods inflation soared as demand shifted from services-e.g. travel and dining-to durable goods like electronics and furniture, exacerbated by supply chain bottlenecks that developed as a consequence of the demand shift. Making this argument does not require one to take a stand on how much the initial increase in the relative price of goods versus services reflected demand versus supply. If the equilibrium price of goods goes up for whatever reason, the overall price level will go up unless the central bank wants to engineer a decline in the price of services. If there is some nominal price rigidity in the service sector, the central bank has a choice. It can allow the relative price increase to pass through and accept a one-time increase in the price level (which in isolation would produce “transitory” inflation). Or, it can hike rates and depress aggregate demand to reduce the price of services sufficiently to keep the increase in the price index equal to the inflation target. In this event, central banks opted, at least initially, to accommodate the price pressures by not trying to offset the increase in the relative price of goods relative to services (Steinsson (2024)).

The Fed was widely criticized in 2021 for failing to hike the policy rate as US inflation surged to 5 percent and the unemployment rate fell to 3.9 percent. However, as shown in Figure 2 which is adapted from English, Forbes, Ubide (2024), *no* advanced economy inflation-targeting central bank in their study raised interest rates before inflation in its country well exceeded its inflation target. Moreover, with the exceptions of Switzerland, all

other AE central banks in the English et. al. study delayed hiking rates until after core inflation had already surpassed the inflation target. And so, if the Fed's "falling behind the inflation curve" in this episode is an indictment of FAIT, it also an indictment of inflation targeting more broadly as practiced in the UK, Canada, Australia, Sweden, and the Eurozone. But the evidence does not indicate that central bank *frameworks* in place in 2021-2022, per se, deserve indictment for the inflation surge (Clarida 2024); English et. al. (2024)).

The Federal Reserve's Framework and Response

In August 2020, the Federal Open Market Committee (FOMC) unanimously adopted the FAIT framework, a robust evolution from traditional flexible inflation targeting (Federal Reserve 2020). FAIT sought to address the challenge of anchoring inflation expectations at the 2% target in a world where the ELB frequently constrains policy and inflation remained persistently below target for the decade before the pandemic. Paragraph four of the 2020 Statement on Longer-Run Goals and Monetary Policy Strategy explicitly stated that following periods of persistently below-target inflation, it would likely be appropriate for inflation to run "moderately above" 2% for some time (Federal Reserve (2020)). However, this feature that appropriate Fed policy following periods of below target inflation would aim for inflation to run "moderately above" the target for some time was not novel to FAIT. Indeed, it was a centerpiece of Fed forward guidance in the inflation targeting regime under Ben Bernanke [Figure 3] starting in December 2012 (Federal Open Market Committee 2012).

A second element of FAIT emphasized the Fed's dual mandate by focusing on "employment shortfalls" rather than "deviations" – as in the original formulation of inflation targeting in 2012 - from maximum employment in either direction. Critics have argued that this focus on shortfalls in and of itself delayed the Fed lift off. However, the record tells a different story [Figure 4]. The Fed's Monetary Policy Report, published semi-annually, includes in each issue a suite of policy rules, including a "shortfalls" Taylor – type policy rule that reacts to unemployment only when it is above the rate estimated to be consistent with the "maximum employment" mandate (Federal Reserve Monetary Policy Report to Congress (2022)). By September 2021, inflation had risen sufficiently above 2% that standard policy rules signaled liftoff even with unemployment still above the FOMC median estimate of its natural level. In other words, according to the standard monetary policy rules the Fed consults, the "shortfalls" standard the Fed highlighted in the new framework was *not* a binding constraint on lifting off according to such "FAIT consistent" policy rules.

So why did the Fed not raise rates in 2021? The delay was not a direct result of the FAIT framework itself, but rather of the FOMC's chosen implementation of the framework, particularly the forward guidance it offered on both the federal funds rate and the balance sheet. At its September 2020 meeting, just a month after adopting FAIT, the FOMC introduced muscular forward guidance, stating it would not consider liftoff until labor market conditions reached the Committee's assessment of maximum employment, inflation hit 2%, and was on track to "moderately exceed" 2% for some time [Figure 4] (Federal Reserve 2020). This guidance went beyond what FAIT required. Indeed, two voting FOMC members, Robert Kaplan, and Neel Kashkari, dissented at that meeting, arguing the

guidance was overly restrictive and was not necessary to achieve the goals of the new framework as articulated in the August 2020 consensus statement. President Kashkari, in particular, preferred guidance that tied liftoff to core inflation reaching 2% on a sustained basis—a simpler, more inflation-focused threshold consistent with FAIT.

The FOMC’s forward guidance on QE further constrained liftoff [Figure 5]. At the December 2020 FOMC meeting, the Committee indicated that QE would continue until “substantial further progress” was made toward its dual mandate goals (Federal Reserve 2020b). Chair Powell and other Fed officials also communicated that a “taper-hike-shrink” sequence of balance sheet policy normalization would be respected as had been the case as the Fed transitioned from QE 3 to rate hikes to balance sheet runoff in 2015-2017. Under THS the Fed would not raise rates until QE ended, and QE would not end until after tapering began and concluded. This sequence, while consistent with the Fed’s actions in the prior decade under inflation targeting, was certainly not mandated by the FAIT framework. It was a discretionary choice that delayed policy normalization, as tapering did not begin until November 2021, with the first rate hike announced in March 2022.

Counterfactual Analysis: What If the Fed Had Lifted Off in 2021?

To gain a sense the macroeconomic consequences of hiking in March 2022 versus in 2021, it helps to reference a rigorous counterfactual. Former Federal Reserve economist David Reifschneider has done just this exercise [Reifschneider (2024)] using the FRB/US model and his key findings are shown in Figure 7. In these simulations which assume a Taylor type policy rule, the federal funds rate lifts off in the summer of 2021 and rises to 8% by the end of 2022. The results are striking. Given the hockey-stick trajectory of realized inflation in 2021 driven in these simulations by the large pandemic supply shocks and huge fiscal support, inflation in these simulations in 2021 ends the year almost exactly as it did without the more aggressive rate hikes. Moreover, even with an 8% funds rate and financial markets in the simulation fully anticipating this counterfactual path, inflation in 2022 in these simulations runs less than 1 percentage point lower than was actually realized. However, there is no free lunch. According to these simulations, this aggressive tightening would have come at a cost: a roughly 2-percentage-point increase in the unemployment rate relative to the actual trajectory.

Summing Up

These facts and a review of the recent literature indicate that the post-pandemic surge in global inflation and the belated but ultimately aggressive monetary policy responses forthcoming from advanced economy central banks reveal little about the relative merits of inflation targeting versus flexible average inflation targeting frameworks or single mandate versus dual mandate central bank charters. The research summarized

above suggests instead that the post pandemic inflation overshoot can best be thought of as a one-time price level increase that central banks perhaps should have better foreseen but that was largely inevitable given the magnitude of the covid - shock to aggregate and sectoral supply, the land war in Europe, and the “all in” response from fiscal and monetary authorities that these shocks triggered that certainly, ex post, boosted aggregate demand well north of available aggregate supply (Clarida (2023)).

The research cited above also suggests the rapid and through 2024 relatively painless disinflation (Bernanke and Blanchard (2024)), if it continues on the other side of the US tariff increases announced on April 2 2025, reflects in no small part the unwinding and reversal of the adverse supply shocks that contributed to the initial inflation spike in the first place as well as the belated pivot to aggressive rate hikes once the inflation threat was recognized.

Implications for Forward Guidance for Rates

The tools of monetary policy are in general not exempt from the laws of economics- returns typically diminish and benefits usually incur costs. Forward guidance, especially threshold-based or calendar-based guidance, has both benefits and costs. In September 2020, the FOMC’s muscular forward guidance tied liftoff to the threshold of maximum employment and a moderate inflation overshoot. Maximum employment is notoriously difficult to measure in real time and even years after fact, and this was especially the case during the pandemic when labor market dynamics were in flux. Regarding communication on Inflation and what rate of inflation would represent a moderate overshoot and over what

time frame, FOMC statements did not quantify either concept nor did its members speak with one voice. For example, one member indicated in August of 2021 that inflation of 3 percent for the year 2021 would not represent a moderate overshoot (Clarida (2021)) but did not indicate what would.

In terms of central bank communication, there would seem to be important benefits to threshold forward guidance that limits itself to variables the central bank can directly influence, such as inflation, rather than less observable metrics such as maximum employment, for example as was suggested by President Kashkari in his dissent at the September 2020 FOMC meeting. This approach to forward guidance at the ELB, akin to temporary price-level targeting (TPLT) at the ELB—a concept earlier championed by Ben Bernanke (2017), Bernanke, Kiley, and Roberts (2019), and Charles Evans (2012) – would appear to be much more robust to the inevitable uncertainties about how to measure maximum employment or potential output and indeed if implemented, would be entirely consistent with 2020 framework statement (Clarida 2020). Indeed, the stochastic simulations of the FRB/US model reported in Bernanke Kiley and Roberts (2019) show that threshold forward guidance that limits itself to an inflation threshold for lift off following an prolonged episode at the ELB produces robustly good outcomes relative to other approaches to forward guidance that are based on Taylor type policy rules that rely on an estimate of potential output or maximum employment.

Implications for Forward Guidance for the Balance Sheet

Four QE programs have been deployed by the Federal Reserve since the Global Financial Crisis. However, the two “open-ended” QE programs, the Fed’s QE3 and QE4 program, have proven in practice to be challenging to bring to a conclusion, for example as was evidenced not only in 2021-2022 as discussed above but also in the “taper tantrum” episode in 2013 (Bernanke 2022). The Fed’s communication in December 2020 that it would continue QE4 until “substantial further progress” toward its dual mandate goals was made, coupled with the intention to honor the taper-hike-shrink sequence as discussed earlier, delayed liftoff and constrained policy flexibility. Based on the US experience with QE 3 and QE 4 and the cross country analysis of the post pandemic unwinding of QE programs in other advanced economies presented in Du, Forbes and Luzetti (2024), it would seem there can be substantial benefits to clarifying ex ante the duration of a quantitative easing program. In particular, Du, Forbes, and Luzetti conclude that the “cross-country results suggests that QT has had more of an impact than “paint drying,” but far less than simply reversing the effects of the quantitative easing programs launched during periods of market stress. Looking ahead, although QT has been smooth to date, frictions could increase in the future so that QT quickly evolves into more like watching “water boil.”

Scenario Analysis

One way to try to improve Fed communication would be to include formal scenario analysis as part of the quarterly SEP or as Bernanke has suggested, and new *Economic*

Review publication featuring staff baseline projections and scenario analysis (Bernanke (2024;2025); Papell and Prodan (2023)). Instead of embedding all policy nuances in the FOMC statement language -replete with adverbs and commas that are made to carry the weight of conveying information about state contingent future policy-the Fed could present a baseline view of the economy, including rate and balance sheet paths, alongside plausible alternative scenarios for the economy *and* the paths for the policy rate and balance sheet under each scenario. For example, the Fed could present in the SEP or in a new *Economic Review* an alternative scenario under different assumptions about the supply side of the economy – say productivity growth and the natural rate of unemployment – as well as a scenario under different assumptions about the demand side of the economy – say the household saving rate and the neutral rate of interest. This approach would of course require the Fed to take a stand on the reaction function assumed in the scenarios, or possibly a suite of reaction functions as are regularly featured in the semiannual MPRs. But while there would seem to be benefits from introducing scenario analysis to improve communication, there are also potential costs as highlighted by English (2025) in his discussion of Bernanke (2025), who argues that scenarios might not in practice be particularly effective – for example if they were presented as “staff” not “FOMC” scenarios – or could actually be counterproductive – for example providing a “financial crisis” scenario in a situation where a financial crisis seems a real possibility could trigger the outcome the central bank would like to avoid or providing an alternative scenario in which forward guidance is abandoned quickly could undermine the effectiveness of the guidance under the baseline outlook.

Concluding Remarks

The post-pandemic global inflation surge of 2021-2022 was driven by large adverse supply shocks flowing from the pandemic, robust fiscal and monetary policy support in response to the pandemic, and a shift in demand toward goods versus services. Advanced economy central banks – be they inflation targeters, flexible average inflation targeters, those with single mandates and those with dual mandates - were initially slow to react but ultimately raised rate aggressively and succeeded, with help from a reversal of the initial supply shocks which contributed to the initial inflation surge, in returning inflation to “2 point something” were confident enough in the prospects for further disinflation to began cutting interest rates by the summer of 2024. Finally, while there are likely benefits of proposals – including the presentations of scenario analysis - to make forward guidance on the policy rate and the balance sheet more robust, there are also potential costs that would need to be considered as well in evaluating specific changes to existing communication practice.

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Figure 1

Global Inflation Surge and Retreat

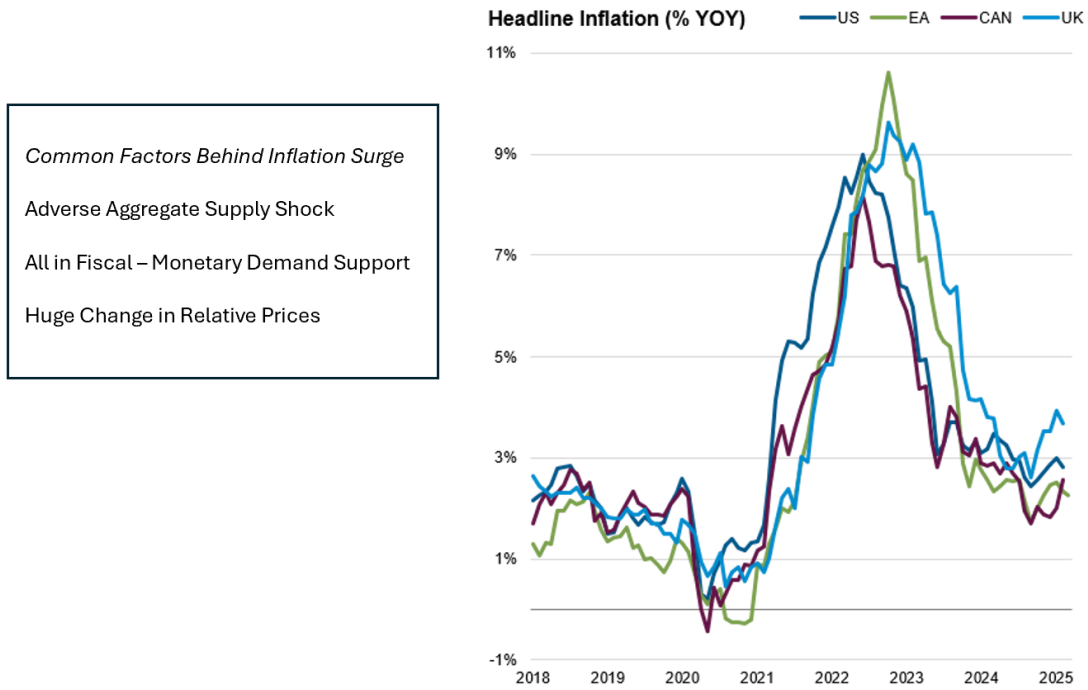
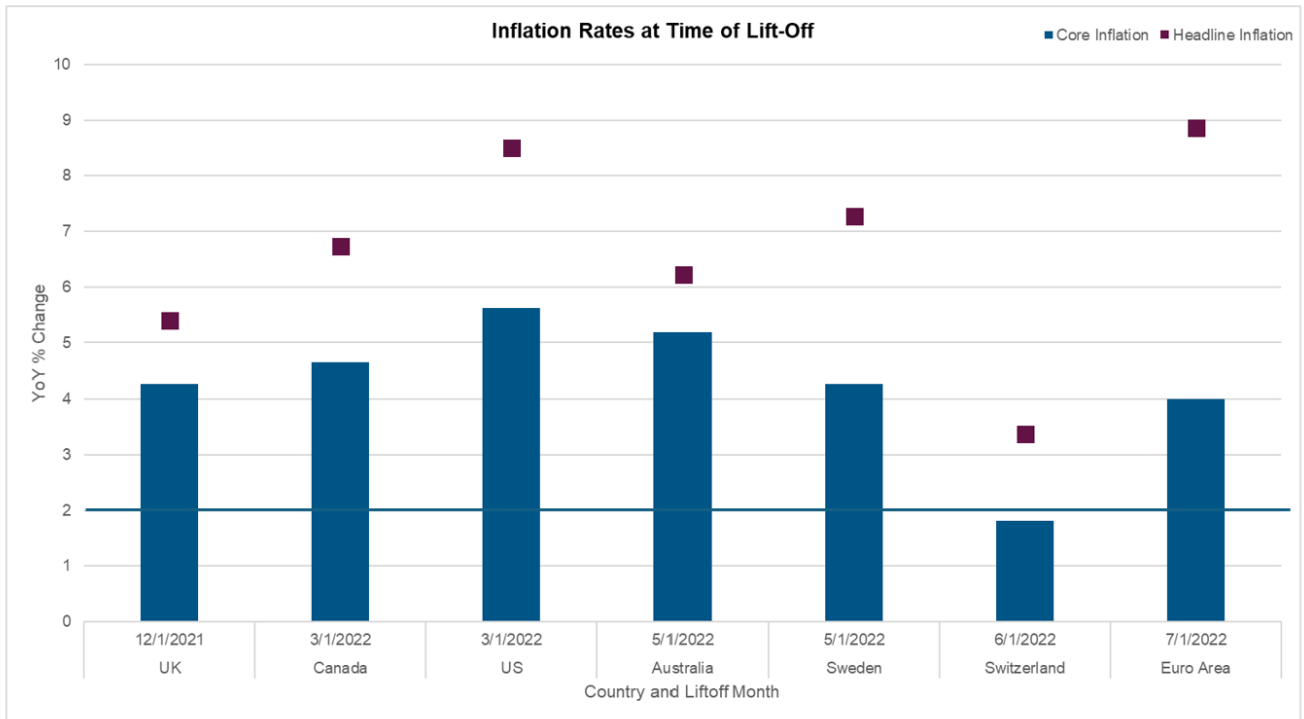


Figure 2

No Advanced Economy I.T. Central Bank Hiked Rates Before Inflation Well Exceeded Target
And No AE I.T. Central bank (save Switzerland) Hiked Rates before CORE Inflation Exceeded Target



Source: English, Forbes, Ubide (2024); Clarida (2024)

Figure 3

Projecting an Ex-Ante Overshoot of the Inflation Target under Appropriate Policy was not New to FAIT
It was a Feature of Inflation Targeting Under the Bernanke Fed in 2012

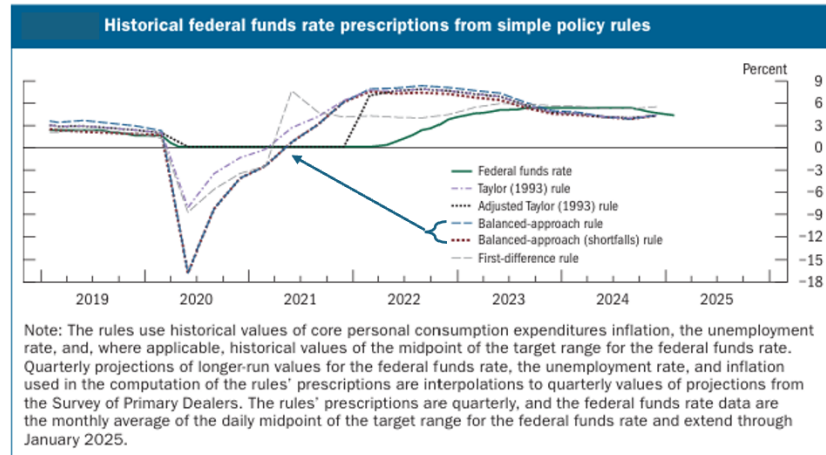
“The Committee decided to keep the target range for the federal funds rate at 0 to 1/4 percent and currently anticipates that this exceptionally low range for the federal funds rate will be appropriate *at least as long as* *inflation between one and two years ahead is projected to be no more than a half percentage point above the Committee’s 2 percent longer-run goal, and longer-term inflation expectations continue to be well anchored.*”

FOMC Statement, December 12, 2012

Figure 4

The Focus on “Employment Shortfalls” Did not in Itself Delay Lift – Off

Standard Taylor Type Policy Rules – including the ‘Shortfalls Rule’ Monitored by the Fed - Signaled Lift Off in September 2021



Source: Federal Reserve Monetary Report to Congress (March 2023 and February 2025) and Clarida , “Outlooks, Outcomes, and Prospects for US Monetary Policy”, Peterson Institute Remarks, August 4, 2021.

Figure 5

Lift Off Was Constrained by the Threshold Forward Guidance Provided in September 2020 FOMC Statement
This Guidance was Consistent with , but was not Mandated by, the New Framework

....The Committee decided to keep the target range for the federal funds rate at 0 to 1/4 percent and expects it will be appropriate to maintain this target range *until labor market conditions have reached levels consistent with the Committee's assessments of maximum employment* and inflation has risen to 2 percent and is on track to moderately exceed 2 percent for some time.....

....Voting against the action were Robert S. Kaplan, who expects that it will be appropriate to maintain the current target range *until the Committee is confident that the economy has weathered recent events and is on track to achieve its maximum employment and price stability goals as articulated in its new policy strategy statement*, but prefers that the Committee retain greater policy rate flexibility beyond that point; and Neel Kashkari, who prefers that the Committee indicate that it expects to maintain the current target range *until core inflation has reached 2 percent on a sustained basis*.

FOMC Statement, September X, 2020

Figure 6

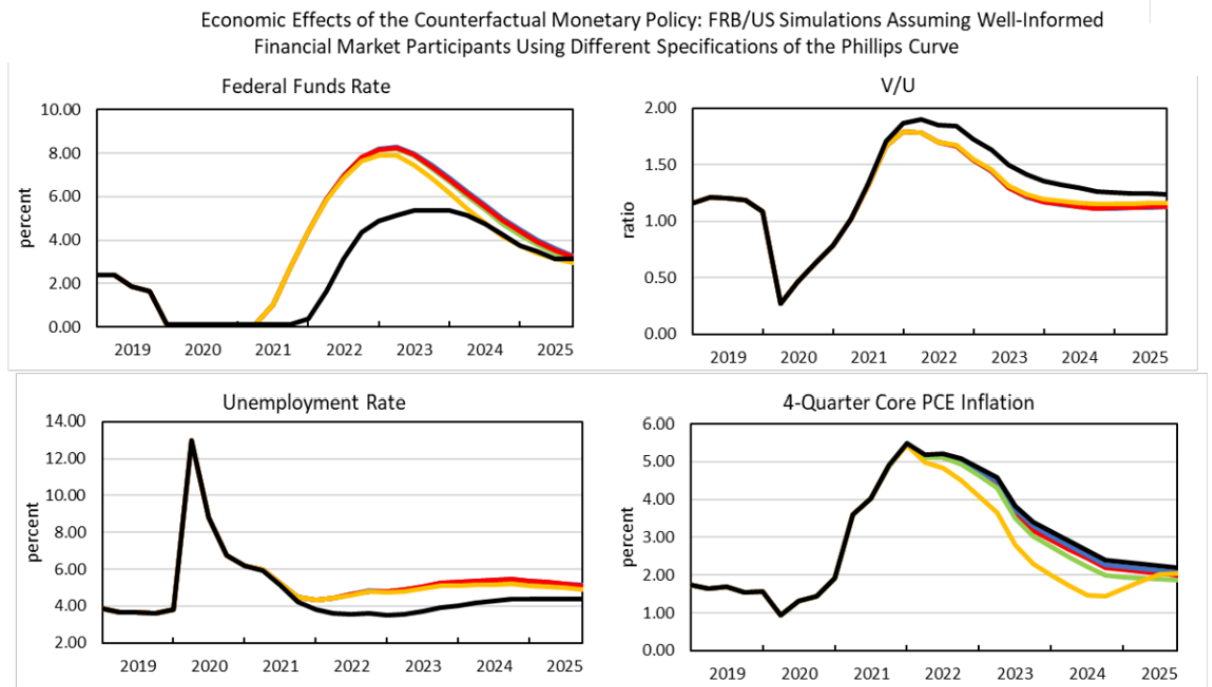
Lift Off Was Also Constrained by the Forward Guidance on QE Provided in the December 2020 FOMC Statement
As Well as by the Goal to Avoid another Taper Tantrum by Communicating that Rate Hikes Would be Delayed Until Taper Had Concluded

....The Federal Reserve will continue to increase its holdings of Treasury securities by at least \$80 billion per month and of agency mortgage-backed securities by at least \$40 billion per month *until substantial further progress has been made toward the Committee's maximum employment and price stability goals.*

FOMC Statement, December 16, 2020

Figure 7

Reifschneider (2024) Counterfactuals



Source: Bureau of Labor Statistics, Bureau of Economic Analysis, Federal Reserve Bank of New York, Federal Reserve Board, and author's calculations.

The black lines are actual and SPD projected results. The other lines are simulation results derived using wage and price equations based on the standard FRB/US model (red), the Bernanke and Blanchard specification (blue), the Cecchetti and others hot/cold model (green), and the Gagnon and Collins low inflation bend model (yellow). Under the counterfactual policy, in early 2021 the FOMC announces that it will follow the prescriptions of the V/U version of the BA rule and will begin normalizing the size of the SOMA portfolio. In response, financial markets revise their expectations as predicted by the model but do not have perfect foresight about future shocks to real activity and inflation. Other agents are less informed and revise their expectations in line with the predictions of a small VAR model.